Sl. No. 1

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Virtual Hearing)

PRESENT: SHRI RAJEEV BHARDWAJ – MEMBER (JUDICIAL)
: SHRI SANJAY PURI – MEMBER (TECHNICAL)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 16.01.2025 AT 12.15 P.M.

TC/CP. Nos.	Present stage of the case	Section/Rule	Name of Parties
CA(CAA)/3/230/AMR/2024	For Orders	230 to 232	1.CMR Textiles & Jewellers Pvt Ltd, (1st Applicant / Transferee Company) 2.Chandana Brothers Multi Complex Pvt Ltd (2nd Applicant/Transferor Company-1) 3.CMR Shopping Mall Pvt Ltd (3rd Applicant/Transferor Company -2) 4..MVR Shopping Mall Pvt Ltd (4th Applicant/Transferor Company -3)

ORDER

Present: Mr. Kailashnath PSS, Ld. Counsel for the Appellant.

Orders pronounced. **CA (CAA)/3/230/AMR/2024 is allowed and recorded vide separate sheets.**

Sd/-
SANJAY PURI
MEMBER (TECHNICAL)

Sd/-
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Mohan & RSN

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
AMARAVATI BENCH AT MANGALAGIRI

* * *

CA (CAA)/3/230/AMR/2024

In the matter of the Companies Act, 2013
AND
[In the matter of Section 230 to 232 of the Companies Act, 2013 Read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016]

AND

In the matter of Scheme of Arrangement Between:

1. CMR Textiles & Jewellers Private Limited
(CIN: U52322AP2014PTC093604)
D.No.29-2-22 to 25, OPP. Judge Court, Jail Road,
Visakhapatnam, Andhra Pradesh, India, 530020

... Applicant Company-1/Amalgamated Company/Transferee Company

2. Chandana Brothers Multi Complex Private Limited
(CIN: U55100AP2005PTC045941)
D.No.29-2-23, OPP. Judge Court, Jail Road,
Visakhapatnam, Andhra Pradesh, India, 530020

... Applicant Company-2/Amalgamation Company-1/Transferor -1)

3. CMR Shopping Mall Private Limited
(CIN: U52609AP2017PTC104856)
D.No: 14-3-1, Nowroji Road, Pandimetta,
Maharanipeta, Vishakhapatnam, Andhra Pradesh -530002

... Applicant Company-3/Amalgamation Company-2/Transferor -2)

4. MVR Shopping Mall Private Limited
(CIN: U52100AP2017PTC104799)
D.No: 14-3-1, Nowroji Road, Pandimetta,
Maharanipeta, Vishakhapatnam, Andhra Pradesh -530002

... Applicant Company-4/Amalgamation Company-3/Transferor -3)

AND

Their Respective Shareholders and Creditors

Sd/-

Sd/-

Date of Order: 16.01.2025

Coram:

SHRI RAJEEV BHARDWAJ, MEMBER (JUDICIAL)
SHRI SANJAY PURI, MEMBER (TECHNICAL)

For the Applicant Companies : Mr. Kailash Nath PSS, Advocate

ORDER
(Per: Bench)

1. The present joint Application has been filed by the Applicant Companies under Sections 230 to 232 of the Companies Act, 2013, read with Rule 3 of the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016, seeking the following orders:

   i. To dispense with the holding of meetings of the Equity Shareholders, Secured Creditors, Unsecured Loan Creditors, and Customers of Applicant Company-1, and to convene a meeting of its Unsecured Trade Creditors.

   ii. To dispense with the issuance of individual notices to the Unsecured Trade Creditors of Applicant Company-1 whose outstanding amount is less than Rs.35,00,000/- as of 31.03.2024.

   iii. To dispense with the holding of the meeting of the Equity Shareholders of Applicant Company-2, and to convene a meeting of its Unsecured Trade Creditors.

   iv. To dispense with the issuance of individual notices to the Unsecured Trade Creditors of Applicant Company-2 whose outstanding amount is less than Rs. 5,00,000/- as of 31.03.2024.

Sd/-

Sd/-

v. To dispense with the holding of meetings of the Equity Shareholders, Secured Creditors, Unsecured Loan Creditors, and Unsecured Trade Creditors of Applicant Company-3.

vi. To dispense with the holding of meetings of the Equity Shareholders, Secured Creditors, and Unsecured Loan Creditors of Applicant Company-4, and to convene a meeting of its Unsecured Trade Creditors.

vii. To dispense with the issuance of individual notices to the Unsecured Trade Creditors of Applicant Company-4 whose outstanding amount is less than Rs. 13,00,000/- as of 31.03.2024.

viii. To dispense with the publication of notices of the meetings in newspapers, as no public interest is involved.

2. The Registered Offices of all the Applicant Companies are situated in the State of Andhra Pradesh and therefore, the matter falls within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of the present case are as follows:

i. M/s.CMR Textiles & Jewellers Private Limited ("CMRTJPL"), Applicant Company-1/ Amalgamated Company, was incorporated as a private limited company under the Provisions of the Companies Act, 1956 on 19.03.2014. The Authorized share capital [1] of the Amalgamated Company is Rs.100,00,00,000/- divided into 10,00,00,000 Equity shares of Rs.10/- each, and the issued, subscribed and paid-up capital is Rs.73,81,12,310/- divided into 7,38,11,231 equity shares of Rs.10/- each.

[1] At page No.7 of Volume-1 of the Application

Sd/-

Sd/-

ii. As of 31.03.2024, the Applicant Company-1 has 17(Seventeen)[2] Equity Shareholders collectively holding 7,38,11,231 equity shares of Rs.10/- each.

iii. The main objects of the Applicant Company-1 is to carry on the business of owning, constructing, erecting, developing, improving, buying, selling, running, operating, taking on lease or license or rent and to let out the same on sub-lease/sub-license/rental basis, for running shopping malls, showrooms, restaurants, hotels, coffee houses entertainment centers, multiplex theatres, shopping, residential, official, commercial and multipurpose complex, marriage halls, conference halls, convocation theatres, concert halls, health centres, beauty parlours, studios, and wholesale and retail trade in all the varieties and kinds of sarees, textiles, cloth, garments, ready-mades, fabrics, other dress materials and other allied products, gold, bullion and all varieties and all kinds of gold jewellery, studded jewellery, ornaments, diamonds, articles made of other precious and semi-precious stones, metals and silver articles, other allied products incidental to their making as buyers, sellers, dealers, exporters and importers, and buying, selling, distributing, stockists, of all types of goods and products of all description including consumables and non-consumable goods like radios, etc.,

iv. M/s. Chandana Brothers Multi Complex Private Limited ("CBMCPL"), Applicant Company-2/ Amalgamating Company-1, was incorporated as a private limited company under the Provisions of the Companies Act, 1956 on 20.04.2005. The Authorized Share

[2] At Page No.612, Annexure -A of Volume-IV of the Application

Sd/-

Sd/-

capital[3] of the Amalgamated Company is Rs.17,00,00,000/- divided into 1,70,00,000 Equity shares of Rs.10/- each, and the issued, subscribed and paid-up capital is Rs.16,72,55,600/- divided into 1,67,25,560 equity shares of Rs.10/- each.

v. As of 31.03.2024, the Applicant Company-2 has 15(Fifteen)[4] Equity Shareholders collectively holding 1,67,25,560 equity shares of Rs.10/- each.

vi. The main objects of the Applicant Company-2 is to carry on the business, either alone or jointly with one or more persons, government, local or other bodies, bodies corporate, corporations, of owning, constructing, erecting, developing, improving, running, taking on lease or license or rent and to let out the same on sub-lease/ sub-license/ rental basis, for running shopping malls, restaurants, hotels, entertainment centers, multiplex theatres as a one stop shopping, residential, official, commercial and /or a multipurpose complex, and wholesale and retail trade in all the varieties and kinds of sarees, textiles, cloth, garments, ready-mades, fabrics, other dress materials and other allied products, gold, bullion and all varieties and all kinds of gold jewellery, diamonds, other allied products precious metals, stones and silver articles, and etc.,

vii. M/s. CMR Shopping Mall Private Limited ("CMRSMPL"), Applicant Company-3/ Amalgamating Company-2, was incorporated as a private limited company under the Provisions of the Companies Act, 2013 on

---

[3] At page No.270 of Volume-II and Page No.326 of Volume-III of the Application
[4] At Page No.729, Annexure -A of Volume-V of the Application

Sd/-

Sd/-

23.01.2017. The Authorized Share capital[5] of the Amalgamated Company is Rs.10,00,00,000/- divided into 1,00,00,000 Equity shares of Rs.10/- each, and the issued, subscribed and paid-up capital is Rs.9,50,00,000/- divided into 95,00,000 equity shares of Rs.10/- each.

viii. As of 31.03.2024, the Applicant Company-3 has 5(Five)[6] Equity Shareholders collectively holding 95,00,000 equity shares of Rs.10/- each.

ix. The main objects of the Applicant Company-3 is to carry on the business, development, construction, operation and management of the commercial project situated at vacant APSRTS Bus Station site at Eluru of AP under BOT Scheme, and either alone or jointly with one or more persons, government, local or other bodies, bodies corporate, corporations, of owning, constructing, erecting, developing, improving, running, taking on lease or license or rent and to let out the same on sub-lease/ sub-license/ rental basis, for running shopping malls, restaurants, hotels, entertainment centers, multiplex theatres as a one stop shopping, residential, official, commercial and /or a multipurpose complex, and wholesale and retail trade in all the varieties and kinds of sarees, textiles, cloth, garments, ready-mades, fabrics, other dress materials and other allied products, gold, bullion and all varieties and all kinds of gold jewellery, diamonds, other allied products precious metals, stones and silver articles, and etc , and etc.

x. M/s. MVR Shopping Mall Private Limited ("MVRSMPL"), Applicant Company-4/ Amalgamating Company-3, was incorporated as a private

---

[5] At page No.14 of Volume-1 of the Application
[6] At Page No.776, Annexure -A of Volume-V of the Application

Sd/-

Sd/-

limited company under the Provisions of the Companies Act, 2013 on 11.01.2017. The Authorized Share capital[7] of the Amalgamated Company is Rs.10,00,00,000/- divided into 1,00,00,000 Equity shares of Rs.10/- each, and the issued, subscribed and paid-up capital is Rs.9,50,00,000/- divided into 95,00,000 equity shares of Rs.10/- each.

xi. As of 31.03.2024, the Applicant Company-4 has 4(Four)[8] Equity Shareholders collectively holding 95,00,000 equity shares of Rs.10/- each.

xii. The main objects of the Applicant Company-4 is to carry on the business, development, construction, operation and management of the commercial project situated at vacant APSRTS Bus Station site at Eluru of AP under BOT Scheme, and either alone or jointly with one or more persons, government, local or other bodies, bodies corporate, corporations, of owning, constructing, erecting, developing, improving, running, taking on lease or license or rent and to let out the same on sub-lease/ sub-license/ rental basis, for running shopping malls, restaurants, hotels, entertainment centers, multiplex theatres as a one stop shopping, residential, official, commercial and /or a multipurpose complex, and wholesale and retail trade in all the varieties and kinds of sarees, textiles, cloth, garments, ready-mades, fabrics, other dress materials and other allied products, gold, bullion and all varieties and all kinds of gold jewellery, diamonds, other allied products precious metals, stones and silver articles, and etc , and etc.

---

[7] At page No.17 & 18 of Volume-1 of the Application
[8] At Page No.806, Annexure -A of Volume-V of the Application

Sd/-

Sd/-

4. Rationale of the Scheme[9]:

The rationale for the Scheme of Amalgamation, as approved by the Boards of Directors of the Applicant Companies and detailed in the Scheme of Arrangement (**Annexure M**)[10], is summarized as follows: The amalgamation of CBMCPL, CMRSMPL, and MVRSMPL into CMRTJPL will simplify the shareholding structure, enabling shareholders of the amalgamating companies to directly hold shares in the amalgamated entity while reducing tiers. The Promoter Group will retain the same cumulative shareholding in CMRTJPL pre- and post-amalgamation, reflecting their continued commitment and alignment with the company's interests. Expenses related to the Scheme will be covered by the surplus assets of the amalgamating companies, with any additional costs borne by the Promoters. Furthermore, the Promoters will indemnify and protect the Amalgamated Company and its stakeholders from any liabilities arising from the amalgamation.

The amalgamation addresses administrative complexities, underutilization of resources, inventory mismatches, and growth-related challenges, aiming to streamline operations, optimize inventory management, and enhance profitability through unified systems for mall and showroom operations. By consolidating operations under a single legal entity, the integration strengthens CMRTJPL's position in the retail industry, particularly in textiles, jewellery, and mall operations, and allows for centralized management of these diverse business segments. This centralized structure facilitates better demand assessment, risk mitigation,

---

[9] Page No. 20 to 25 of Volume I of the Application
[10] Page No.502 to 553 of Volume IV of the Application

and growth planning while enabling streamlined decision-making, efficient resource allocation, and enhanced financial discipline.

The unified entity is expected to benefit from common strategies, expanded liquidity, and improved valuation, which will facilitate diversification into new businesses and attract potential external investments. The integration supports the expansion of the "CMR" and associated brands, improving market reach and maximizing business potential across textiles, jewellery, and mall operations. The Scheme is designed to maximize benefits for all stakeholders, including shareholders, creditors, employees, and customers, by centralizing administrative control, creating operational synergies, and positioning the Amalgamated Company for sustained growth and value creation.

5. The Board of Directors of all the Applicant Companies, in their respective Board Meetings held separately on 24.09.2024[11], unanimously approved the Scheme of Arrangement between the Amalgamating Companies and the Amalgamated Company, with the appointed date set as **01.04.2024**[12].

6. It is stated that no investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

7. It is stated that no winding-up petition or resolution process under the provisions of the Insolvency and Bankruptcy Code (IBC) is pending against the Applicant Companies in any court or tribunal in India.

---

[11] Page No.554 to 565 of Volume IV of the Application
[12] Page No. 516 of Volume IV of the Application

Sd/-

Sd/-

8. The Applicant company has submitted an Independent Auditor's certificate dated 30.09.2024[13], confirming that the proposed accounting treatment contained the Draft Scheme is in compliance with the Companies (Indian Accounting Standards) Rules, 2015, notified under Section 133 of the Companies Act, 2013, readd with the rules thereunder, and other generally accepted Accounting Principles in India and Ind AS, as applicable.

9. The Applicant Company has filed its Registered Valuer's Report dated 23.09.2024[14], stating that the fair value of the equity shares of the Transferee/Amalgamated Company and the Transferor/Amalgamating Companies, along with the proposed value per share and the share-cum-cash consideration for the merger, has been determined as follows:

Particulars	CMRTJPL (Amalgamated/ Transferee)	CBMCPL (Amalgamating -1 / Transferor-1)	CMRSMPL (Amalgamating-2 / Transferor-2)	MVRSMPL (Amalgamating-3 / Transferor-3)
Value per Share(INR)	177.02	176.72	17.76	33.56
Swap Ratio	1.00	1.00	9.97	5.27

10. The Applicant Company-1/Amalgamated Company has submitted an Independent Auditor's certificate dated 30.09.2024[15], confirming that as of 31.03.2024, there are 17 (seventeen) Equity shareholders, collectively holding 7,38,11,231 equity shares of Rs.10/- each. All the Shareholders have given their consent on the form of affidavits[16], agreeing to the proposed scheme.

11. The Applicant Company-1/Amalgamated Company has submitted an Independent Auditor's certificate dated 30.09.2024[17], confirming that as of 31.03.2024, there are 04 (Four) Secured Creditors, with a debt of

[13] Page No.566 to 581 of Volume IV of the Application
[14] Page No.582 to 607 of Volume IV of the Application
[15] Page No.611 & 612 of Volume IV of the Application
[16] Page No.613 to 646 of Volume IV of the Application
[17] Page No.647 to 650 of Volume V of the Application

Sd/-

Sd/-

Rs.5,24,83,13,871/-. The Secured Creditors have given their consent on the form of affidavits[18], agreeing to the proposed scheme.

12. The Applicant Company-1/Amalgamated Company has submitted an Independent Auditor's certificate dated 30.09.2024[19], confirming that as of 31.03.2024, there are 08 (Eight) Unsecured Loan Creditors, with a debt of Rs.4,93,40,793/-. The Unsecured Loan Creditors have given their consent on the form of affidavits[20], agreeing to the proposed scheme.

13. The Applicant Company-1/Amalgamated Company has submitted an Independent Auditor's Certificate dated 30.09.2024[21], confirming that as of 31.03.2024, there are 2,039 (Two Thousand and Thirty-Nine) unsecured trade creditors with a total debt amounting to Rs.4,39,67,80,035/-. The details are as follows:

Sl.No	Particulars of Unsecured Trade Creditors	Number	Amount(in Rs.)	%
1	Dues more than Rs.50 Crore	1	74,15,24,791	16.87
2	Dues between Rs.50 Crore and Rs.2 Crore	27	79,17,40,001	18.01
3	Dues between Rs.2 Crore and Rs.1 Crore	55	79,86,41,572	18.16
4	Dues between Rs.1 Crore and Rs. 50 Lakhs	103	72,31,50,600	16.45
5	Dues between Rs.50 Lakhs and Rs.35 Lakhs	77	32,46,91,423	07.38
6	Dues less than INR 35 Lakhs	1,776	1,01,70,31,648	23.13
Total		**2,039**	**4,39,67,80,035**	**100.00**

14. The Applicant Company-1/Amalgamated Company has submitted an Independent Auditor's Certificate dated 30.09.2024[22], confirming that as of 31.03.2024, it has 60,532 customers with total advances of Rs.1,77,35,89,363/- for the purchase of gold ornaments. These advances are short-term, not exceeding 10 months, and are adjusted against the sale of goods upon delivery. The advances will be fully discharged by the

[18] Page No.651 to 656 & 661 of Volume V of the Application and Page No.2-3 of the Memo Dairy No.1755
[19] Page No.663 to 666 of Volume V of the Application
[20] Page No.667 to 682 of Volume V of the Application
[21] Page No.683 to 722 of Volume V of the Application
[22] Page No.723 to 727 of Volume V of the Application

Sd/-

Sd/-

Applicant Company-1 in the regular course of business as per the original terms and conditions.

15. The Applicant Company-2/Amalgamating Company-1 has submitted an Independent Auditor's certificate dated 30.09.2024[23], confirming that as of 31.03.2024, there are 15 (fifteen) Equity shareholders, collectively holding 1,67,25,560 equity shares of Rs.10/- each. All the Shareholders have given their consent on the form of affidavits[24], agreeing to the proposed scheme.

16. The Applicant Company-2/Amalgamating Company-1 has submitted an Independent Auditor's certificate dated 30.09.2024[25], there are no Secured Creditors and Unsecured Loan Creditors in the 2nd Applicant Company.

17. The Applicant Company-2/ Amalgamating Company-1 has submitted an Independent Auditor's Certificate dated 30.09.2024[26], confirming that as of 31.03.2024, there are 133 (One Hundred and Thirty-Three) unsecured trade creditors with a total debt amounting to Rs.7,85,87,808/-. The details are as follows:

Sl. No.	Particulars of Unsecured Trade Creditors	Number	Amount (in Rs.)	%
1	Dues more than Rs.1 Crore each	3	3,36,07,215	42.76
2	Dues between Rs.1 Crore and Rs.10 Lakhs	11	2,47,76,993	31.53
3	Dues between Rs.10 Lakhs and Rs.5 Lakhs	9	59,42,504	07.56
4	Dues Less than Rs.5 Lakhs	110	1,42,61,096	18.15
Total		**133**	**7,85,87,808**	**100**

18. The Applicant Company-3/Amalgamating Company-2 has submitted an Independent Auditor's certificate dated 30.09.2024[27], confirming that as of 31.03.2024, there are 05 (Five) Equity shareholders, collectively holding

[23] Page No.728 & 729 of Volume V of the Application
[24] Page No.730 to 759 of Volume V of the Application
[25] Page No.760 to 766 of Volume V of the Application
[26] Page No.767 to 774 of Volume V of the Application
[27] Page No.775 & 776 of Volume V of the Application

Sd/-

Sd/-

95,00,000 equity shares of Rs.10/- each. All the Shareholders have given their consent on the form of affidavits[28], agreeing to the proposed scheme.

19. The Applicant Company-3/Amalgamating Company-2 has submitted an Independent Auditor's certificate dated 30.09.2024[29], confirming that as of 31.03.2024, there are 01 (One) Secured Creditor, with a debt of Rs.15,38,39,266/-. The Secured Creditor has given the consent letter[30], agreeing to the proposed scheme.

20. The Applicant Company-3/ Amalgamating Company-2 has submitted an Independent Auditor's certificate dated 30.09.2024[31], confirming that as of 31.03.2024, there are 03 (Three) Unsecured Loan Creditors, with a debt of Rs.12,02,92,865/-. The Unsecured Loan Creditors have given their consent on the form of affidavits[32], agreeing to the proposed scheme.

21. The Applicant Company-3/ Amalgamating Company-2 has submitted an Independent Auditor's Certificate dated 30.09.2024[33], confirming that as of 31.03.2024, there are 02 (Two) Unsecured Trade Creditors with a total debt amounting to Rs.54,60,000/-. The Unsecured Trade Creditors have given their consent on the form of affidavits[34], agreeing to the proposed scheme.

22. The Applicant Company-4/Amalgamating Company-3 has submitted an Independent Auditor's certificate dated 30.09.2024[35], confirming that as of 31.03.2024, there are 04 (Four) Equity shareholders, collectively holding

---

28 Page No.777 to 786 of Volume V of the Application
29 Page No.787 to 790 of Volume V of the Application
30 Page No.4 & 5 of the Memo vide Dairy No.1755 dated 10.12.2024
31 Page No.794 to 797 of Volume V of the Application
32 Page No.795 to 800 of Volume V of the Application
33 Page No.801 to 804 of Volume V of the Application
34 Page No.6 to 9 of the Memo vide Dairy No.1755 dated 10.12.2024
35 Page No.805 & 806 of Volume V of the Application

Sd/-

Sd/-

95,00,000 equity shares of Rs.10/- each. All the Shareholders have given their consent on the form of affidavits[36], agreeing to the proposed scheme.

23. The Applicant Company-4/Amalgamating Company-3 has submitted an Independent Auditor's certificate dated 30.09.2024[37], confirming that as of 31.03.2024, there are 01 (One) Secured Creditor, with a debt of Rs.26,20,00,349/-. The Secured Creditor has given the consent letter[38], agreeing to the proposed scheme.

24. The Applicant Company-4/ Amalgamating Company-3 has submitted an Independent Auditor's certificate dated 30.09.2024[39], confirming that as of 31.03.2024, there are 16 (Sixteen) Unsecured Loan Creditors, with a debt of Rs.23,38,86,247/-. The Unsecured Loan Creditors have given their consent on the form of affidavits[40], agreeing to the proposed scheme.

25. The Applicant Company-4/Amalgamating Company-3 has submitted an Independent Auditor's Certificate dated 30.09.2024[41], confirming that as of 31.03.2024, there are 52 (Fifty-Two) Unsecured Trade Creditors with a total debt amounting to Rs.4,74,84,771/-. The details are as follows:

Sl. No.	Particulars of Unsecured Trade Creditors	Number	Amount (in Rs.)	%
1	Dues more than Rs.50 Lakhs each	2	2,09,47,433	44.11
2	Dues between Rs.50 Lakhs and Rs.20 Lakhs	4	1,21,93,976	25.68
3	Dues between Rs.20 Lakhs and Rs.13 Lakhs	3	40,36,083	08.50
4	Dues less than Rs.13 Lakhs	46	1,03,07,279	21.71
Total		**52**	**4,74,84,771**	**100.00**

[36] Page No.807 to 814 of Volume V of the Application
[37] Page No.815 to 818 of Volume V of the Application
[38] Page No.819 & 820 of Volume V of the Application
[39] Page No.821 to 825 of Volume V of the Application
[40] Page No.826 to 855 of Volume VI of the Application
[41] Page No.856 to 862 of Volume VI of the Application

Sd/-

Sd/-

26. Heard the submissions made in this regard by Mr.Kailash Nath PSS, Advocate appearing for the Applicant Companies and the relevant documents filed have been thoroughly reviewed.

ORDER

27. It is noted that all Shareholders, Secured Creditors, and Unsecured Loan Creditors of the Applicant Companies, as well as the Unsecured Trade Creditors of Applicant Company-3, have provided consent affidavits and letters agreeing to the proposed Scheme of Amalgamation. Therefore, in accordance with Section 230(9) of the Act, the meetings of these stakeholders are dispensed with.

28. It is noted that, as per the undertaking of Applicant Company-1[42], the meeting of customers is dispensed with.

29. With regard to convening meetings of the Unsecured Trade Creditors of the 1st, 2nd, and 4th Applicant Companies, the Applicant Companies filed a memo[43], which has been taken on record. Accordingly, this Tribunal has passed the following order:-

    a) A meeting of the **Unsecured Trade Creditors** of the **1st Applicant/Amalgamated Company** is scheduled to be held on **08.03.2025** at **11:00 AM** at Daspalla Hotel, D.No. 28-2-48, Suryabagh, Jagadamba Junction, Visakhapatnam, Andhra Pradesh – 530020, for the purpose of considering and, if deemed fit, approving, with or without modifications, the arrangement embodied in the Scheme.

---

[42] Paragraph 38, Pages 42-43 of Volume I of the Application.
[43] Memo vide Diary No.1830; Dated 31.12.2024

Sd/-

Sd/-

b) **Mr. Naresh Kumar Sangam, Advocate** (Mobile No.**9000666072**; email: **sangamnaresh@gmail.com**) shall be the **Chairperson** of the meeting of the Unsecured Trade Creditors and in respect of any adjournment thereof.

c) **Mr. M B Suneel, ACS** (Mobile No. **9985718812**; email: **cssunil1427@gmail.com**) is appointed as the **Scrutinizer** for the meeting of Equity Shareholders and in respect of any adjournment thereof

d) A meeting of the **Unsecured Trade Creditors** of the **2nd Applicant/1st Amalgamating Company** is scheduled to be held on **08.03.2025 at 12:00 Noon** at Daspalla Hotel, D.No. 28-2-48, Suryabagh, Jagadamba Junction, Visakhapatnam, Andhra Pradesh – 530020, for the purpose of considering and, if deemed fit, approving, with or without modifications, the arrangement embodied in the Scheme.

e) **Mr. M.Parameswara Reddy, Advocate** (Mobile No. **9700428210**; email: **reddyz2011@gmail.com**) shall be the **Chairperson** of the meeting of the Unsecured Trade Creditors and in respect of any adjournment thereof.

f) **Mr. Srikant Kumar P, ACS** (Mobile No. **9885618898**; email: **srikantkumarp@gmail.com**) is appointed as the **Scrutinizer** for the meeting of Equity Shareholders and in respect of any adjournment thereof.

Sd/-

Sd/-

g) A meeting of the **Unsecured Trade Creditors** of the **4th Applicant/3rd Amalgamating Company** is scheduled to be held on **08.03.2025 at 1:00 PM** at Daspalla Hotel, D.No. 28-2-48, Suryabagh, Jagadamba Junction, Visakhapatnam, Andhra Pradesh – 530020, for the purpose of considering and, if deemed fit, approving, with or without modifications, the arrangement embodied in the Scheme.

h) **Mr. Samireddy Sai Sarat Chandra, Advocate** (Mobile No.**7904917102**; email: **saratchandra0709@gmail.com**) shall be the **Chairperson** of the meeting of the Unsecured Trade Creditors and in respect of any adjournment thereof.

i) **Mr. Manish Kumar Singhania, ACS** (Mobile No. **9949489086**; email: **manishcs31@gmail.com**) is appointed as the **Scrutinizer** for the meeting of Equity Shareholders and in respect of any adjournment thereof.

30. The remuneration for the Chairman is fixed at Rs.1,25,000/- (Rupees One Lakh Twenty-Five Thousand only), and the remuneration for the Scrutinizer is fixed at Rs.75,000/- (Rupees Seventy-Five Thousand only) per meeting.

31. At least one month before the date of the aforementioned meetings, an advertisement convening the said meetings, indicating the day, date, place, and time, shall be published in ***Hans India (in English)*** and ***Andhra Jyothi (in Telugu)***. The publication shall specify the time within which copies of the scheme will be made available to the concerned persons, free of charge, at the registered office of the Applicant Companies. The publication shall also state that the statement required under Section 102 of the Companies

Sd/-

Sd/-

Act, 2013, read with Sections 230 to 232 of the Act, and the prescribed form of proxy, can be obtained free of charge from at the Corporate Office of the Applicant Companies, Contact No. 7288886727, email: **accounts@cmrvizag.com** (or) at the office of its Advocate i.e., Mr.Kailash Nath PSS, at H.No.6-3-663/7/6, Flat No.201, Saai Priya, Jaffar Ali Bagh, Somajiguda, Hyderabad – 500082, Ph:(+91) 9989887314; email:- ***kailash.palagummi@gmail.com.*** This is in compliance with the second proviso to sub-section (3) of Section 230 of the Companies Act, 2013, and Rule 7 of the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

32. The Chairman/Chairperson appointed for the aforementioned meetings shall issue advertisements and send out notices for the said meetings. The Chairman is authorized to utilize the services of the Applicant Companies or any external agency to fulfill the above-stated directives. The Chairman shall exercise all powers granted under the Articles of Association of both Applicant Companies and the applicable Rules for conducting the meetings. This includes resolving any procedural issues that may arise during the meetings or their adjournments, as well as addressing any proposals related to the scheme or resolutions put forth by any individual(s) at the meetings. The Chairman shall also determine the outcome of the meeting by ballot or polling paper at the meeting venue.

33. The issuance of individual notice of the Scheme to all the Creditors will be a futile exercise and disproportionate to the time, labour and cost involved. Therefore, in accordance with Section 230(4) of the Companies Act, 2013, the service of individual notices is limited to unsecured trade creditors whose claims constitute at least five percent of the total outstanding debt,

Sd/-

Sd/-

as per the latest audited financial statements. Notices to other unsecured creditors are dispensed with.

The Section 230 (4) is extracted hereunder for ready reference:

"Section 230(4) A notice under sub-section (3) shall provide that the persons to whom the notice is sent may vote in the meeting either themselves or through proxies or by postal ballot to the adoption of the compromise or arrangement within one month from the date of receipt of such notice:

Provided that any objection to the compromise or arrangement shall be made only by persons holding not less than ten per cent. of the shareholding or having outstanding debt amounting to not less than five per cent. of the total outstanding debt as per the latest audited financial statement".

34. In view of the submissions made by the counsel and perused the auditor's report, as on 31.03.2024,

i. the First Applicant Company has 2,093 unsecured trade creditors with a total outstanding amount of Rs.439,67,80,035/-. When applying a threshold of Rs.35,00,000/- and above, there are 263 unsecured trade creditors, accounting for a total value of Rs. 337,97,48,387/-. These 263 creditors represent 12.89% of the total number of unsecured trade creditors and 76.87% of the total value of unsecured trade credit. This satisfies the requirement of Section 230(6) of the Companies Act, 2013. The threshold was suggested to the Tribunal due to the large number of unsecured creditors.

Summary for the First Applicant Company:

Total Number of Unsecured Creditors	**Total Value of Unsecured Credit (in Rs.)**	**Number of Unsecured Trade Creditors at and above Rs.35 Lakhs threshold**	**Value of Unsecured Trade Creditors at and above Rs.35 Lakhs threshold (in Rs.)**
2093	439,67,80,035	263	337,97,48,387/-
100%	100%	12.89%	**76.87%**

The Section 230 (6) is extracted hereunder for ready reference:

"Where, at a meeting held in pursuance of sub-section (1), majority of persons representing three fourths in value of the creditors, or class of

Sd/-

Sd/-

creditors or members or class of members, as the case may be, voting in person or by proxy or by postal ballot, agree to any compromise or arrangement and if such compromise or arrangement is sanctioned by the Tribunal by an order, the same shall be binding on the company, all the creditors, or class of creditors or members or class of members, as the case may be, or, in case of a company being wound up, on the liquidator and the contributories of the company."

ii. the Second Applicant Company has 133 unsecured trade creditors with a total outstanding amount of Rs.7,85,87,808/-. When applying a threshold of Rs.5,00,000/- and above, there are 23 unsecured trade creditors, accounting for a total value of Rs.6,43,26,712/-. These 23 creditors represent 17.29% of the total number of unsecured trade creditors and 81.85% of the total value of unsecured trade credit. This satisfies the requirement of Section 230(6) of the Companies Act, 2013. The threshold was suggested to the Tribunal due to the large number of unsecured creditors.

Summary for the Second Applicant Company:

Total Number of Unsecured Creditors	**Total Value of Unsecured Credit (in Rs.)**	**Number of Unsecured Trade Creditors at and above Rs.35 Lakhs threshold**	**Value of Unsecured Trade Creditors at and above Rs.35 Lakhs threshold (in Rs.)**
133	7,85,87,808	23	6,43,26,712
100%	100%	17.29%	**81.85%**

iii. the Fourth Applicant Company has 52 unsecured trade creditors with a total outstanding amount of Rs.4,74,84,771/-. When applying a threshold of Rs.13,00,000/- and above, there are 09 unsecured trade creditors, accounting for a total value of Rs.3,71,77,492/-. These 09 creditors represent 17.30% of the total number of unsecured trade creditors and 78.29% of the total value of unsecured trade credit. This satisfies the requirement of Section 230(6) of the Companies Act,

Sd/-

Sd/-

2013. The threshold was suggested to the Tribunal due to the large number of unsecured creditors.

Summary for the Fourth Applicant Company:

Total Number of Unsecured Creditors	Total Value of Unsecured Credit (in Rs.)	Number of Unsecured Trade Creditors at and above Rs.35 Lakhs threshold	Value of Unsecured Trade Creditors at and above Rs.35 Lakhs threshold (in Rs.)
52	4,74,84,771	9	3,71,77,492
100%	100%	17.30%	78.29%

35. In accordance with Section 103 of the Companies Act, 2013, the quorum for meetings shall be determined based on the number of persons required to be present, unless the Articles of Association specify a larger number.

The Hon'ble NCLAT, New Delhi Bench in the case of *Minda I Connect Pvt. Ltd. v. Minda Industries Limited,* CA(AT) No. 134/2021, has stated that

> *"10% of the shareholders determined by NCLT, to constitute quorum is not provided under Section 230-232 of the Act, or under the Companies (Compromises, Arrangement and Amalgamation) Rules 2016. The number of creditors present at a meeting can always give consent and approval of the scheme of amalgamation, and if the approval satisfies the condition of Section 230 (6) of the Act, it is sufficient compliance of the provisions of the Companies Act, 2013".*

Therefore, the quorum for the meetings of the Unsecured Trade Creditors of the First, Second, and Fourth Applicant Companies is hereby directed to comply with the provisions of Section 103 of the Companies Act, 2013, and the Articles of Association of the respective companies. Furthermore, the approval of the scheme by the creditors present at the meeting shall satisfy the requirements of Section 230(6) of the Companies Act, 2013, ensuring compliance with the applicable legal provisions.

Sd/-

Sd/-

36. Voting by proxy/authorised representatives is permitted provided that the proxy in the prescribed form/authorisation duly signed by the person entitled to attend and vote at the aforesaid meeting is filed with the Applicant Companies at their respective registered offices, as stated in the cause title, not later than 48 hours before the meetings vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act.

37. The Chairman to file an Affidavit not less than 7 (seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

38. It is further ordered that the Chairman shall report to this Tribunal on the result of the meeting in Form No. CAA-4, duly verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within seven working days.

39. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Company shall send notice under section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh' (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal

Sd/ Sd/

within period of 30(thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

40. In the event of the Applicant companies approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the scheme to put forth his/their contention(s) before the Tribunal.

41. With the above directions, the Company Application i.e. **CA(CAA)/3/230/AMR/2024** is allowed and disposed of.

Sd/-

SANJAY PURI
MEMBER (TECHNICAL)

Sd/-

RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu